group should be viewed with suspicion.[2] This idea seems to us to contain something of a logical fallacy, since it necessarily penalizes the lower half of any group, regardless of how satisfactory the showing may be, considered by itself. We are unable to suggest a better figure than the old 2-to-1 criterion to use as a *definite quantitative test* of a sufficiently comfortable financial position. Naturally the investor would favor companies that well exceed this minimum requirement, but the problem is whether or not a higher ratio *must* be exacted as a condition for purchase, so that an issue otherwise satisfactory would necessarily be rejected if the current assets are only twice current liabilities. We hesitate to suggest such a rule, nor do we know what new figure to prescribe.

A second measure of financial strength is the so-called "acid test," which requires that current assets *exclusive of inventories* be at least equal to current liabilities. Ordinarily the investor might well expect of a company that it meet *both* the 2-to-1 test and the acid test. If *neither* of these criteria is met it would in most cases reflect strongly upon the investment standing of a common-stock issue—as it would in the case of a bond or preferred stock—and it would supply an argument against the security from the speculative standpoint as well.

Archer-Daniels-Midland Company

Item	June 30, 1933	June 30, 1932
Cash assets	$ 1,392,000	$3,230,000
Receivables	4,391,000	2,279,000
Inventories	12,184,000	4,081,000
Total current assets	$17,967,000	$9,590,000
Current liabilities	8,387,000	778,000
Working capital	$ 9,580,000	$8,812,000
Working capital excluding inventories	−2,604,000	+4,731,000

Exceptions and Examples. As in all arbitrary rules of this kind, exceptions must be allowed if justified by special circumstances. Consider, for example, the current position of Archer-Daniels-Midland Company on June 30, 1933, as compared with the previous year's figures.

[2] See Roy A. Foulke, *Signs of the Times*, pp. 17–19, 25 *et seq.*, New York 1938; and Alexander Wall, *How to Evaluate Financial Statements*, pp. 82–97, New York, 1936. Note, however, Wall's criticism of mere arithmetical averages as bases for comparison.